because it can lead to the exact wrong conclusions about future price relationships and risk.

28. The Price Action in Related Markets Can Sometimes Provide Important Trading Clues

For some traders, such as Benedict and Ramsey, the interaction of price movements in related markets is a critical input in their trade decision process. Although the price action in other markets can be important, there are no set rules in how such price action should be interpreted. Sometimes, one market may tend to lead another. In other situations, two markets may move in tandem, but then begin to move independently, a price behavior change that may provide price directional clues. As an example, after years of correlated price movement, in early September 2011, equity prices rallied, but commodity prices weakened. Ramsey read the failure of commodity prices to respond to equity market strength as a signal of impending weakness. During the second half of September, commodity prices and commodity-influenced currencies plunged.

29. Markets Behave Differently in Different Environments

Any analysis of fundamental factors that assumes a static relationship between economic variables and market prices will be doomed to failure because markets behave differently in different environments. As Dalio points out, the same fundamental conditions and government actions will have different price consequences in a deleveraging environment than in a recession.